

2.3 Making operational decisions

Paper 2 / Theme 2 · Edexcel GCSE Business 1BS0

Past-paper question bank for this topic

- **Total questions:** 48
- **Total marks:** 148
- **Sub-topics covered:** 4

By series:

- **Specimen SAMs:** 8 questions
- **June 2019:** 5 questions
- **Nov 2020:** 6 questions
- **Nov 2021:** 7 questions
- **June 2022:** 7 questions
- **June 2023:** 8 questions
- **June 2024:** 7 questions

2.3.1 Business operations (15 questions)

Specimen SAMs · Paper 2 · Q2(b) · §A

MCQ

2 marks

Which two of the following are advantages to a business of using just in time (JIT) production?

- A. Improved cash flow
- B. Increased ability to meet an unexpected order
- C. Increased ability to exploit economies of scale
- D. Stock is less likely to become out of date
- E. Improved product range

▼ Mark scheme

A, D

Fender uses job production to manufacture its hand-made musical instruments.

Analyse the impact on Fender of using job production to produce these musical instruments.

▼ **Mark scheme**

Indicative content: The guitars will be individual to each musician (AO2). The cost of producing guitars will be higher (AO2). This means musicians such as Bruno Mars will be willing to pay a high price for an individually crafted instrument, resulting in high profit margins (AO3a). This results in low profit margins if the extra costs of production cannot be recouped through selling the guitars at a higher price (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application... Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Explain one drawback to a business of using job production.

▼ **Mark scheme**

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks. All of the products may be made by different workers (1). Therefore, the products may not be identical (1). As a result, each product could be of differing quality (1). This method of production is slower than batch or flow (1). Therefore, productivity may be lower (1). As a result, the cost of producing each unit may rise (1). Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Kentucky Fried Chicken (KFC) is a fast food chain that sells fried chicken. Amongst its most popular products are Popcorn Chicken, Boneless Chicken boxes and Zinger Tower burgers. These are freshly cooked in batches in each of its 900 restaurants across the UK. In 2017, KFC changed the company it used to transport its supplies of chicken. It replaced Bidvest with DHL. Bidvest had three distribution centres across the UK, but DHL only had one. In February 2018, DHL started to have logistical problems causing many KFC restaurants to run out of chicken. This led to a temporary closure of many KFC branches due to poor supplier reliability. As a result of these closures, KFC started losing market share to rival fast food restaurants such as Burger King. KFC used social media and a viral advertising campaign to apologise to customers. It also considered lowering the prices of its most popular food items to win back lost customers and recapture market share. The Colonel is working on it: 'THE CHICKEN CROSSED THE ROAD, JUST NOT TO OUR RESTAURANTS... WE'VE BROUGHT A NEW DELIVERY PARTNER ONBOARD, BUT THEY'VE HAD A COUPLE OF TEETHING PROBLEMS - GETTING FRESH CHICKEN OUT TO 900 RESTAURANTS ACROSS THE COUNTRY IS PRETTY COMPLEX. WE WON'T COMPROMISE ON QUALITY, SO NO DELIVERIES HAS MEANT SOME OF OUR RESTAURANTS ARE CLOSED, AND OTHERS ARE OPERATING A LIMITED MENU, OR SHORTENED HOURS. SHOUT OUT TO OUR RESTAURANT TEAMS WHO ARE WORKING FLAT OUT TO GET US BACK UP AND RUNNING AGAIN.'

Outline one benefit to KFC of using batch production in its restaurants.

▼ Mark scheme

Award up to 2 marks for linked points outlining a benefit to KFC (Kentucky Fried Chicken) of using batch production in its restaurants. Award a maximum of 1 mark if points are not linked. KFC will be able to fry several chicken portions at the same time (1). Therefore, the productivity of cooking will be higher than if they used job production (1). KFC still has the ability to customise menu items that it would not be able to do with flow production (1). Therefore, if a customer wants no mayonnaise on their burger KFC will be able to meet this need (1). Do not accept a benefit of using batch production that would not relate to KFC. For example, it ensures that all the products made within the batch are totally identical.

Discuss the disadvantage to a business of using a just in time (JIT) system of stock control.

▼ Mark scheme

Indicative content: The business may run out of stocks of raw materials if suppliers do not deliver on time (AO1b). The business will not be able to place bulk orders for raw materials (AO1b). Therefore, production will stop because the business will not have any buffer stocks. As a result, customers will not receive their orders on time (AO3a). Therefore, the average variable cost of raw materials will increase. As a result, the profit margin for the product may fall (AO3a). Level 1 (1-2): Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used (AO1b). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Demonstrates mostly accurate knowledge and understanding of business concepts and issues, including appropriate use of business terminology in places (AO1b). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology (AO1b). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Analyse the benefit to Tesla of using flow production in its new factory.

▼ Mark scheme

Indicative content: Tesla will be able to produce large numbers of Model 3 cars (AO2). It is a much more efficient method of producing electric cars for the mass market (AO2). As a result, as the market for electric cars gets larger, Tesla will be able to satisfy demand, allowing it to generate increased sales revenue (AO3a). Therefore, the average total cost of producing the Model 3 should fall. This should allow Tesla to reduce the price to \$35 000 and still make a profit (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Evaluate whether high quality logistics will give ASOS a competitive advantage. You should use the information provided as well as your knowledge of business.

▼ Mark scheme

Indicative content: Allowing customers to receive their clothes the next day fulfils a customer need of the target market (AO1b). Being able to deliver products to customers on time can be easily copied by other online/high street retailers (AO1b). This is because 16-30 year olds will not want to wait to receive clothes for a party or special occasion where they want to wear the garments the next day (AO2). Rivals such as Boohoo and high street retailers with websites such as Debenhams are also likely to offer high quality logistics. They too may allow customers to receive clothes the next day after ordering (AO2). Therefore, ASOS's logistics may become a unique selling point (USP) of the business because it provides convenience that other retailers do not offer. This reduces the importance of other factors that may be important in a customer's decision to purchase clothing from a retailer e.g. price. Therefore, ASOS could charge a premium for the additional convenience provided. This could give the company a competitive advantage (AO3a). As a result, logistics may not be an important source of competitive advantage since it is likely that price and fashion are much more important amongst lower income 16-30 year old customers. Therefore, logistics has a limited impact on the success of ASOS (AO3a). However, the market is becoming increasingly competitive as more e-commerce businesses target the same market. Therefore, it is likely that ASOS's competitive advantage from logistics will only exist in the short-term unless it can move towards same day delivery which will be harder for rivals to copy (AO3b). However, it depends on the degree to which its target market values convenience and speed of delivery. If this is critical then it is likely that logistics will remain a major source of competitive advantage for ASOS (AO3b). Level 1 (1-4): Elements of knowledge; limited application; conclusion supported by generic assertions. Level 2 (5-8): Mostly accurate knowledge; sound application; conclusion based on sound evaluation. Level 3 (9-12): Accurate knowledge; detailed application; valid and well-reasoned conclusion based on thorough evaluation.

Greggs plc is a company that produces baked goods such as sausage rolls, savoury snacks and cakes. It has more than 1,900 shops and a number of factories located across the UK. In 2018, Greggs planned to open a further 130 shops to cope with its continued growth in sales. It wanted to increase the use of technology in its factories, where it uses batch production. To be able to cope with this expansion, Greggs also planned to invest in improved logistics. The growth of Greggs has been a UK high street success story. From originally being based in Newcastle and the north-east, it has expanded rapidly across the whole of the UK. It has switched away from selling traditional bakery products, such as bread, to become more like a fast food chain. As a result, Greggs now sell a variety of takeaway goods such as pizza, soup, coffee and sandwiches and operates in the very competitive 'food-to-go' market. Its main rivals are Pret a Manger, Costa and Starbucks. Figure 3: Greggs' vegan sausage roll. In 2019, Greggs gained national publicity by becoming the first food retailer to start selling vegan sausage rolls. It is hoped that products such as this will help Greggs stand out from its rivals. The vegan sausage roll is priced at £1, 10p more than the meat-based equivalent. (Source: adapted from <https://www.foodmanufacture.co.uk/Article/2018/02/27/High-street-baker-posts-profits-growth> and <https://metro.co.uk/2019/01/03/actually-greggs-vegan-sausage-roll-8305542/>)

Outline one drawback to Greggs of using batch production in its factories.

▼ Mark scheme

Award up to 2 marks for linked points outlining a drawback to Greggs. Award a maximum of 1 mark if points are not linked. Greggs' may have to clean the sausage roll machine every time they produce a batch of vegan sausage rolls (1). Therefore, the productivity of the production line may be lower (1). Batch production is less efficient than flow production (1). Therefore, the cost of making a Vegan sausage roll may be higher than it could be (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

Analyse the impact on Greggs from increasing the use of technology in its factories.

▼ Mark scheme

Indicative content: New technology, such as food manufacturing equipment is expensive (AO2). This should allow productivity of its sausage roll production line to increase (AO2). As a result, Greggs fixed costs are likely to increase. Therefore, it will need a greater level of contribution to pay off the greater fixed cost burden. As a result, the break-even point may rise (AO3a). Therefore, the average variable cost of making a sausage roll should fall. As a result, profit margins on each item should rise (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Limited application of knowledge and understanding of business concepts (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

June 2022 · Paper 2 · Q6(a) · \$B

State 1 marks

State one good that Greggs produces in its factories.

▼ Mark scheme

Award 1 mark for stating one good that Greggs produce in its factories. Cakes (1). Pizza (1). Sausage roll (1). Sandwiches (1). Soup (1). Vegan sausage roll (1). To award 1 mark there must be evidence of application.

June 2023 · Paper 2 · Q1(d) · \$A

Explain 3 marks

Explain one impact on a business of using flow production.

▼ Mark scheme

Award 1 mark for identification of an impact, plus 2 further marks for explaining this impact up to a total of 3 marks. The business will be able to automate the production line (1). As a result, the productivity of the business may rise (1). Therefore, the unit cost of making each item should fall (1). Production is less flexible (1). Therefore, a standardised product must be made (1). As a result, it is difficult to make different versions of the product to meet customer needs (1). Accept any other appropriate response. Answers that list more than one impact with no explanation will be awarded a maximum of 1 mark.

June 2023 · Paper 2 · Q2(b) · \$A

MCQ 2 marks

Which two of the following are services? Select two answers.

- A. Accountancy
- B. Biscuits
- C. Furniture
- D. Hairdressing
- E. Shoes

▼ Mark scheme

The only correct answers are A – Accountancy and D – Hairdressing. B is not correct because it is a good. C is not correct because it is a good. E is not correct because it is a good.

June 2024 · Paper 2 · Q1(d) · \$A

Explain 3 marks

Explain one advantage to a business of using just in time (JIT) stock control.

▼ Mark scheme

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage, up to a total of 3 marks. The business can hold less stock (1). Therefore, the business does not have to incur the costs of warehousing stock (1). As a result, it will have better net cash-flow (1). The business will be better placed to match stock with demand (1). Therefore, it will not be left with excess stock (1). Thus, it may not have to sell this stock off at a substantial discount (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Figure 1 shows the bar gate stock graph for a business in June 2023. A and B represent deliveries of stock to the business.

Using the information in Figure 1, calculate how many days it took for the business to run out of stock after receiving its last delivery in June 2023.

▼ Mark scheme

Substitution into correct formula: Day 28 - Day 10 (1). Answer: 18 days (1). Award full marks for correct numerical answer without working.

Analyse the drawback to Popeyes from trying to improve productivity.

▼ Mark scheme

Indicative content: Popeyes may have to reorganise its kitchens and move equipment like fryers to allow its chefs to work faster (AO2). The business may have to re-train its workers to improve their speed in preparing and cooking chicken (AO2). This may mean that productivity falls in the short-term which increases the amount of time customers may have to wait. This may discourage customers from making repeat purchases in the future (AO3a). This may result in some staff leaving Popeyes since they may feel that they are being asked to do more work for no extra pay. This may cause demotivation amongst the remaining workers and leave the restaurant short-staffed (AO3a). Level 1 (1-2): Limited application. Level 2 (3-4): Sound application. Level 3 (5-6): Detailed application throughout with detailed interconnected points and logical chains of reasoning.

2.3.2 Working with suppliers (17 questions)

Figure 3 shows a bar gate stock graph which details the delivery of ash wood to Fender's factory for 60 days in 2016. During this time it received three deliveries of ash wood from its supplier. These are marked on Figure 3 as A, B and C. Stocks of ash wood (in kg) plotted against number of days. Re-order level shown at ~1600 kg, buffer stock at 200 kg, max stock ~2600 kg.

Identify the amount of ash wood Fender held as a buffer stock.

▼ Mark scheme

200 kg. Do not award a mark if the correct unit (kg) is not given.

Identify the day when delivery B of ash wood arrived at Fender's factory.

▼ Mark scheme

Day 32

Calculate the amount of ash wood that was delivered to Fender in order B. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $2600 \text{ kg} - 400 \text{ kg}$ (1). Answer: $2\,200 \text{ kg}$ (1). Award full marks for correct numerical answer without working.

State one factor that Fender will consider when choosing its suppliers.

▼ Mark scheme

Award 1 mark for stating one factor Fender will consider when choosing suppliers. Quality of the electronic components supplied (1). Ethical sourcing of ash wood (1). Speed of delivery of materials, such as wood/strings (1). Accept any other appropriate response. Do not accept factors that would not be appropriate for a musical instrument manufacturer such as Fender, for example freshness of raw materials.

Explain one benefit to a business of having a good relationship with its suppliers.

▼ Mark scheme

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. Suppliers are more likely to give the business discounts on raw materials (1). This means that the variable costs per unit may fall (1). Therefore, the profit made on each item may increase (1). Suppliers are likely to become more reliable (1). Therefore, supplies of raw materials are more likely to arrive on time (1). As a result, a business can now successfully operate a just in time stock control system (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Figure 2 shows a bar gate stock graph which details the delivery of chicken portions to KFC's Exmouth restaurant during February 2018. During this time it received two deliveries of chicken portions. These are marked as A and B. The graph shows portions of chicken on the y-axis (0 to 1,500) and number of days on the x-axis (0 to 30+), with re-order level around 800 and buffer stock around 100.

Using the information in Figure 2, calculate the size of order A. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: 1,300 portions - 100 portions (1). Answer: 1,200 portions of chicken (1). Award full marks for correct numerical answer without working.

Using the information in Figure 2, calculate the number of days that KFC's Exmouth restaurant ran out of chicken. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: Day 26 - Day 22 (1). Answer: 4 days (1). Award full marks for correct numerical answer without working.

Analyse the impact on KFC of poor supplier reliability.

▼ Mark scheme

Indicative content: KFC may run out of chicken at busy times such as Saturday lunchtime (AO2). KFC may have to restrict the options on its menu and items like boneless boxes may not be available (AO2). This may disappoint consumers since their needs are no longer being met. As a result, consumers may switch to other fast food outlets such as Burger King. This may cause KFC's revenue to go down (AO3a). This may mean KFC cannot produce all the items it normally sells. As a result, staff members may not be working to their full potential. Therefore, productivity at KFC may fall (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Procurement involves a business having a strong relationship with which one of the following stakeholder groups?

- A. Local community
- B. Managers
- C. Pressure groups
- D. Suppliers

▼ Mark scheme

D - Suppliers

Figure 1 shows a bar gate stock graph with stock held (in units) on the y-axis and number of days on the x-axis. The graph shows stock fluctuating between approximately 600 and 2,500 units over 60 days.

Which one of the following is the minimum level of stock held by the business in the bar gate stock graph shown in Figure 1?

- A. 200 units
- B. 300 units
- C. 600 units
- D. 800 units

▼ Mark scheme

The only correct answer is C – 600 units. A is not correct because it is not the minimum stock level. B is not correct because it is not the minimum stock level. D is not correct because it is not the minimum stock level.

Explain one disadvantage to a business of using a just in time (JIT) system of stock control.

▼ Mark scheme

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. Suppliers of raw materials may not be reliable (1). As a result, production could stop if deliveries are late (1). Therefore, the business may not be able to meet customer orders (1). The business will not be able to buy in bulk (1) because JIT results in frequent, smaller orders being placed for raw materials (1). Therefore, the average variable cost of raw materials could be higher (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Analyse the impact on Greggs from improving its logistics.

▼ Mark scheme

Indicative content: Greggs' 1,900 shops are less likely to run out of food such as pizza and cakes (AO2). Greggs may now be able to use a just in time (JIT) stock management system since baked goods like cakes can quickly become out of date (AO2). As a result, Greggs will always have a full range of products to sell in its shops, allowing it to gain a competitive advantage over its rivals (AO3a). This may allow Greggs to reduce waste and improve efficiency. As a result, the cost of manufacturing a product may fall allowing a higher profit margin to be obtained (AO3a). Levels: Level 0 No rewardable material. Level 1 (1–2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3–4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5–6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Figure 2 shows a bar gate stock graph showing deliveries of raw materials to a business in June 2021. Three deliveries are labelled A, B and C. Maximum stock level approx 1,300; Re-order level approx 800; Buffer stock approx 100. Delivery A brings stock from approx 500 to 1,000 (500 units), Delivery B brings stock from approx 300 to 1,300 (1,000 units), Delivery C brings stock from approx 100 to 900 (800 units).

Using the information in Figure 2, calculate the total amount of stock that was delivered to the business in June 2021. You are advised to show your workings.

▼ Mark scheme

Substitution into correct formula: $500 + 1,000 + 800$ (1). Answer: 2,300 units (1). Award full marks for correct numerical answer without working.

Explain one disadvantage to a business of having a poor relationship with its suppliers.

▼ Mark scheme

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage, up to a total of 3 marks. Deliveries of raw materials may be late (1). Therefore, production may be disrupted (1). Thus, the business may not be able to meet the needs of its customers (1). The business may not get good terms for trade credit (1). Therefore, they may have to pay cash to their suppliers earlier (1). As a result, net cash flow may fall (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

June 2023 · Paper 2 · Q6(b) · \$B

Outline

2 marks

Outline one drawback to Ocado of using just in time (JIT) stock control.

▼ Mark scheme

Award up to 2 marks for linked points outlining a drawback to Ocado of using just in time (JIT) stock control. Award a maximum of 1 mark if points are not linked. If there is a sudden increase in demand for grocery items like toilet rolls, Ocado may run out of stock (1). Therefore, customers may switch to rival supermarkets such as Asda (1). Ocado will not be able to buy items, such as baked beans, in bulk (1). Therefore, the unit cost will rise (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

June 2024 · Paper 2 · Q6(a) · \$B

State

1 marks

State one example of stock that Popeyes is likely to purchase from a supplier.

▼ Mark scheme

Award 1 mark for stating one example of stock that Popeyes is likely to purchase from a supplier. Chicken (1). Cooking oil (1). Coca-Cola (1). To award 1 mark there must be evidence of application.

June 2024 · Paper 2 · Q6(b) · \$B

Outline

2 marks

Outline one benefit to Popeyes from having a good relationship with its suppliers.

▼ Mark scheme

Award up to 2 marks for linked points outlining a benefit to Popeyes from having a good relationship with its suppliers. Popeyes may be able to secure faster delivery from its suppliers (1). Therefore, they will never run out of stock of cooking oil or chicken (1). The fast-food business could negotiate cheaper prices for chicken (1). This would reduce the variable costs of the business (1). Award any other valid answer. To award 2 marks there must linked development and evidence of application.

2.3.3 Managing quality (5 questions)

Specimen SAMs · Paper 2 · Q1(c) · \$A

Explain

3 marks

Explain one benefit to a business of producing a high-quality product.

▼ Mark scheme

Award 1 mark for identification of a benefit, plus 2 further marks for explaining this benefit up to a total of 3 marks. A high-quality product would improve the business's brand image (1), therefore allowing the business to charge a premium (1), which will increase the net profit margin (1). A high-quality product will lead to fewer defects (1), therefore fewer customer complaints (1), resulting in lower costs for the customer services department (1). Accept any other appropriate response. Answers that list more than one benefit with no explanation will be awarded a maximum of 1 mark.

Explain one advantage to a business of producing a high quality product.

▼ **Mark scheme**

Award 1 mark for identification of an advantage, plus 2 further marks for explaining this advantage up to a total of 3 marks. This may be a source of differentiation (1). Therefore, the business may attract more customers (1). As a result, market share may increase (1). The business may be able to charge higher prices (1). This could increase the difference between revenue and cost (1). Therefore, the profit margin on each product may increase (1). Accept any other appropriate response. Answers that list more than one advantage with no explanation will be awarded a maximum of 1 mark.

Explain one drawback to a business of introducing a system of quality assurance.

▼ **Mark scheme**

Award 1 mark for identification of a drawback, plus 2 further marks for explaining this drawback up to a total of 3 marks.

This may involve a large amount of employee training (1). This is because workers at each stage of the production process are now responsible for checking their own work (1). Therefore, business costs may increase (1).

This will require a change in culture (1). This is because employees will now need to check every stage in the production of the product (1). As a result, this could be very time consuming (1).

Accept any other appropriate response. Answers that list more than one drawback with no explanation will be awarded a maximum of 1 mark.

Analyse the benefit to Ocado of using new technology in its warehouses.

▼ Mark scheme

Indicative content: The new technology has given Ocado the ability to process an extra 30,000 grocery orders per week (AO2). The new technology allows a grocery order to be picked in under 5 minutes with heavy items placed in the bottom of a bag (AO2). Therefore, it has been able to cope with the increase in demand for products ordered online. As a result, customer satisfaction has remained high allowing Ocado to maintain customer loyalty in an enlarged market for online shopping (AO3a). This allows Ocado to have a competitive advantage over its rivals since groceries are less likely to be damaged. As a result, it should be able to deliver with fewer complaints from its customers. This may enhance its brand loyalty (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Explain one method a business could use to improve the quality of its products.

▼ Mark scheme

Award 1 mark for a method, plus 2 further marks for explaining this method up to a total of 3 marks. The business could train its employees better (1). Therefore, they will be more likely to be able to spot faults in a product (1). As a result, products are less likely to break after being sold (1). The business could use quality assurance (1). Therefore, every single worker has a responsibility to ensure that the product is made correctly (1). As a result, it is less likely that faulty products will leave the production line (1). Accept any other appropriate response. Answers that list more than one method with no explanation will be awarded a maximum of 1 mark.

2.3.4 The sales process (11 questions)

Explain one disadvantage to a business of providing poor customer service.

▼ Mark scheme

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks. The brand image will be damaged (1), therefore customer loyalty will fall (1). This results in the business making lower sales (1). Customers will switch to a different business (1), therefore the business will have a lower market share (1) and as a result revenues will go down (1). Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

In August 2017, UK supermarket group Sainsbury's decided to cut its costs by £500 million to remain competitive. One of the changes Sainsbury's made was to end its membership of Fairtrade. The Fairtrade scheme gives farmers in countries such as Kenya a higher price for their crops, such as tea. In return, Sainsbury's can use the Fairtrade logo on its products. This makes its groceries, such as bananas, more attractive to ethically-minded customers. Sainsbury's has decided to replace Fairtrade with its own scheme called 'Fairly Traded'. Critics of the change believe that it confuses customers. Protests about this change have already been held in London. Sainsbury's also decided to reduce its head office workforce by 1,000. This allowed the company to increase wages for its shop floor employees, including checkout operators and shelf stackers, by 4.4% to £8 per hour. This reduced the wage difference with Aldi, which pays £8.53 per hour. Sainsbury's wants to retrain shop floor employees to improve the customer service in its stores.

Give one stage of the sales process.

▼ Mark scheme

Award 1 mark for a stage of the sales process. Product knowledge (1). Speed/efficiency of service (1). Customer engagement (1). Responses to customer feedback (1). Post-sales service (1).

Sainsbury's case study (wants to retrain shop floor employees to improve customer service).

Outline one advantage to Sainsbury's of improving its customer service.

▼ Mark scheme

Award up to 2 marks for linked points outlining an advantage to Sainsbury's from improving its customer service. Award a maximum of 1 mark if points are not linked. This may make Sainsbury's more attractive than competitors such as Tesco (1). Therefore, it may gain more sales (1). People may be able to ask questions to shop floor workers about certain foods (1). This may make Sainsbury's customers more loyal (1). Do not accept advantages that would not relate to Sainsbury's. For example, more people may now choose to go there, improving Sainsbury's profits.

Which one of the following is a stage in the sales process?

- A. Product knowledge
- B. Product quality
- C. Production
- D. Productivity

▼ **Mark scheme**

The only correct answer is A - Product knowledge. B is not correct because it is not a stage in the sales process. C is not correct because it is not a stage in the sales process. D is not correct because it is not a stage in the sales process.

Analyse the impact on KFC of providing poor customer service.

▼ **Mark scheme**

Indicative content: Customers may decide to buy fast food from rivals such as Burger King (AO2). This may damage KFC's brand within the market for spicy chicken such as Zinger Tower burgers (AO2). As a result, KFC's revenue may fall compared to rivals. Therefore, KFC may lose market share, reducing its competitive advantage (AO3a). This may reduce KFC's ability to charge a premium on its products. As a result, profit margins on each item may fall leading to lower profits for KFC (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Explain one disadvantage to a business of having poor customer service.

▼ **Mark scheme**

Award 1 mark for identification of a disadvantage, plus 2 further marks for explaining this disadvantage up to a total of 3 marks.

Customers may become dissatisfied with the business (1). As a result, they may not make any repeat purchases (1). Therefore, the market share of the business may fall (1).

The brand may be damaged (1). Therefore, the business cannot charge a premium price (1). As a result, profit margins may fall (1).

Accept any other appropriate response. Answers that list more than one disadvantage with no explanation will be awarded a maximum of 1 mark.

Explain one reason why having a post-sales service may be important to a business.

▼ **Mark scheme**

Award 1 mark for identification of a reason, plus 2 further marks for explaining this reason, up to a total of 3 marks.

This allows customers to resolve any problems they may have with the product (1). Therefore, customer loyalty should increase (1). Thus, the business should gain repeat purchases (1).

This could give the business a USP (1). This is because the customer now feels that the business is looking after them once they have purchased the product (1). Therefore, the business could gain a strong brand image for customer care (1).

Accept any other appropriate response. Answers that list more than one reason with no explanation will be awarded a maximum of 1 mark.

Which one of the following is a stage in the sales process?

- A. Advertising
- B. Customer engagement
- C. Product quality
- D. Use of different payment systems

▼ Mark scheme

The only correct answer is B – Customer engagement. A is not correct because it is not a stage in the sales process. C is not correct because it is not a stage in the sales process. D is not correct because it is not a stage in the sales process.

Analyse the benefit to Ocado of good customer service.

▼ Mark scheme

Indicative content: Ocado's 62% excellent rating on Trustpilot could be a source of differentiation compared to Asda (AO2). Grocery shoppers may become more loyal to Ocado due to its excellent food delivery service (AO2). As a result, some shoppers may switch to Ocado from rival firms. Therefore, Ocado may be able to increase its market share, allowing it to increase its revenue (AO3a). Therefore, Ocado may be able to charge higher prices than competitors. This could allow Ocado to generate a higher profit margin on each product sold (AO3a). Level 1 (1-2): Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3a). Level 2 (3-4): Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3a). Level 3 (5-6): Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3a).

Extract B: In 2004, entrepreneur Mark Zuckerberg started Facebook. Then, in 2012, the company floated on the stock exchange and became a public limited company (plc). By 2020, Facebook plc had become the largest social networking website in the world with 2.5 billion users and advertising revenues of \$70.1 billion. The company has used internal and external growth to expand. Between 2012 and 2020, Facebook purchased over 60 different companies, including WhatsApp, Instagram and the virtual reality company, Oculus. However, Facebook wants to reduce its reliance on revenue from advertising on its websites and sees its future growth coming from new markets such as selling virtual reality headsets. Facebook believes that social media is now reaching the maturity phase in its product life cycle in most of its main markets. In 2020 Facebook decided to give employees in its European headquarters in Dublin the option to work from home. Facebook believes that remote working will not result in lower productivity. It also believes it will allow Facebook to attract talented people such as coders, graphic designers and software engineers who cannot afford to live in expensive locations such as Dublin. Facebook believes that having less office space will reduce costs and give the company a competitive advantage against its rivals such as Snapchat and Twitter.

Give one stage of the sales process.

▼ **Mark scheme**

Award 1 mark for a stage of the sales process. Product knowledge (1). Speed/efficiency of service (1). Customer engagement (1). Responses to customer feedback (1). Post-sales service (1). Award any other close interpretation of the stages listed above.

Which two of the following are stages in the sales process?

- A. Customer engagement
- B. Longer opening hours
- C. Market data
- D. Product knowledge
- E. Product promotion

▼ **Mark scheme**

The only correct answers are A - Customer engagement and D - Product knowledge. B is not correct because it is not a stage of the sales process. C is not correct because it is not a stage of the sales process. E is not correct because it is not a stage of the sales process.